levied for specific purposes' shall be shared between the Union and the states. As articles 268 and 269 refer to marginal taxes like tax on stamp duty and consignment sale, all union taxes, including income tax, corporation tax, central GST and excise duties are shareable with states. Article 280 makes 'net proceeds of taxes' shareable, which allows the Central government to exclude the cost of collection of taxes from shareable tax proceeds. Likewise, tax proceeds attributable to union territories are not part of the net proceeds of taxes.

The Central government can, however, keep union taxes outside the divisible pool by levying surcharges, which Article 271 permits the Parliament to levy by increasing any of the union duties and taxes. It can also levy any cess for any specific purpose. Surcharges are usually meant to serve any extraordinary needs and cesses to service any specific purposes.

The Central government has increasingly reduced the effective share of states in union taxes and duties. Gross tax revenues (including the states' share) in 2018–19, 2019–20 and 2020–21 have been Rs 20.80 lakh crore, Rs 20.10 lakh crore and Rs 19.00 lakh crore, respectively, whereas the Centre appropriated Rs 13.17 lakh crore, Rs 13.57 lakh crore and Rs 13.45 lakh crore, respectively. This gives it a share of 63.3 per cent, 67.5 per cent and 70.8 per cent in these three years. Correspondingly, states got a reduced share in taxes of 36.3 per cent, 32.5 per cent and 29.2 per cent in these years. Thus, the Centre has been effectively chipping away at the states' share in central taxes determined by the Finance Commissions. For financial year 2021–22 (BE), the Central government has estimated the share of states at Rs 6,65,572 crore, whereas the gross tax receipts are estimated at Rs 22,17,059 crore. This gives the states an effective share of only 29.6 per cent, much less than the share of 41 per cent mandated by the Finance Commission.

The feat of reducing the states' share sharply in financial year 2020–21 (to 29.2 per cent from 32.5 per cent in 2019–20) was achieved by increasing